



Fundamentals of Human Resource Management (HRM1)

Module 4: HR Systems and Technology

Lesson 1: HR Systems and Their Components

Lesson Notes

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What HR Systems Are, and the Three Models Behind Their Design

Effective HR systems are critical to organisational success. HR systems encompass the processes, policies, and technologies an organisation uses to attract, develop, and retain talent. Understanding their components, models, and best practices allows an organisation to optimise its human capital and drive performance.

Three models, already introduced in Module 3 through the Storey Model and High Performance Work Systems, directly inform how HR systems are designed. Hard HRM focuses on efficiency, control, and cost reduction, treating employees primarily as a resource to be managed tightly. Soft HRM emphasises employee development, empowerment, and commitment, treating people as an asset to be grown rather than simply controlled. High Performance Work Systems integrate both hard and soft elements to drive organisational performance, combining efficiency with genuine investment in people.

Well designed HR systems streamline human resource management, improve HR decision making, enable compliance with labour laws, and help HR teams better support both managers and employees. A Ugandan bank that builds its recruitment, payroll, and performance processes around a clear system, rather than handling each employee matter informally as it arises, is far better positioned to scale as it grows and opens new branches.

Reflect: Looking at your own experience of any organisation, would you say its HR approach leans closer to hard HRM, soft HRM, or a genuine blend through something like HPWS?

Core HR System Components, Part One

An HR system is made up of seven components working together. The first is employee data management, which involves HR information systems, employee records, and databases, along with compliance with labour laws. General Electric's HRIS enables real time data access and compliance, while IBM's Workday system streamlines employee data management and analytics.

The second component is performance management, covering goal setting, appraisal, feedback, and succession planning. Adobe's check in system replaced traditional annual performance reviews with regular, ongoing feedback conversations. Microsoft's growth mindset approach focuses on continuous employee development and learning rather than fixed annual judgement. Google's well known twenty percent time policy encourages employees to dedicate a portion of their work time to side projects, which has produced some of the company's most significant innovations.

The third component is recruitment and selection, covering job analysis, advertising, screening, interviewing, and onboarding. Microsoft's blind hiring process removes names and photos from resumes to reduce bias in early screening. Amazon's virtual job tryouts allow candidates to experience aspects of a role before formally applying. Google's predictive hiring tool integrates data from resumes, assessments, and other sources, then applies machine learning to identify patterns and predict candidate success, filtering out unqualified applicants and reducing manual screening time significantly.

A Ugandan telecom company adopting even a simplified version of blind screening, removing names before an initial resume review, could meaningfully reduce unconscious bias in its own hiring process without needing expensive predictive software.

Reflect: *Of employee data management, performance management, and recruitment and selection, which do you think would have the biggest immediate impact if a small Ugandan organisation improved it today?*

Core HR System Components, Part Two

The fourth component is compensation and benefits, covering salary and wage administration alongside benefits such as retirement contributions and health insurance. Patagonia's onsite childcare and flexible work arrangements support work life balance for its staff, while Netflix's unlimited vacation policy trusts employees to manage their own time responsibly. In Uganda, some larger employers such as banks and telecom companies offer similar benefits, including health insurance and structured leave policies, though such benefits remain far less common among smaller businesses.

The fifth component is employee relations, covering communication and engagement, conflict resolution, grievance management, and employee wellbeing. This often takes the practical form of town hall meetings, mental health support resources, and organised outdoor or team building activities.

The sixth component is training and development, also called learning management, covering training needs assessment, design, delivery, and evaluation. MTN's future fit skills programme and Walmart's academy training for future leaders, which uses virtual reality based training modules, both illustrate how organisations invest in structured, ongoing skill building rather than one off training events.

The seventh component is succession planning, covering the identification of key positions and talent gaps, and the development of leadership pipelines. Coca-Cola's leadership development programme is a well known example of systematically identifying and preparing future leaders well before a vacancy actually occurs.

Reflect: Which of these four components, compensation and benefits, employee relations, training and development, or succession planning, do you think Ugandan organisations most often treat as an afterthought rather than a genuine system?

Bringing the Seven Components Together

The seven HR system components, employee data management, performance management, recruitment and selection, compensation and benefits, employee relations, training and development, and succession planning, do not operate as separate silos. Weakness in one tends to create visible strain elsewhere. Poor recruitment increases the burden on training. Weak performance management makes succession planning far harder, since it becomes unclear who is genuinely ready for advancement.

The next lesson moves from these seven components into the specific technologies, HRIS, applicant tracking systems, and increasingly artificial intelligence, that organisations now use to run these components efficiently at scale.